

RESPA and TRID

Everyone loves a sordid story, right? So when you hear about lenders paying massive kickbacks to real estate agents in exchange for exclusively using their services, and how RESPA-the Real Estate Settlement Procedures Act-swooped in to save the day (and consumers' pocketbooks), you may think that's enough drama for one act. But there's more to this story.

At its core, RESPA ensures that buyers in residential real estate transactions financed by federally related mortgage loans have information about all settlement costs. It does this by requiring lenders to give borrowers disclosures at various times.

Some of these disclosures spell out costs associated with the settlement, others outline lender servicing and escrow account practices, and others describe business relationships between settlement service providers, such as title companies or mortgage lenders and real estate brokerage firms.

RESPA covers new first mortgage loans, refinance loans, second mortgages, and home equity loans-in general, any loan for which residential real estate is pledged as collateral.

When borrowers apply for a RESPA-related mortgage loan, mortgage brokers and/or lenders must provide disclosures using TILA-RESPA Integrated Disclosures (TRID), which are made up of two separate documents:

- The Loan Estimate form lists charges the buyer is likely to pay at settlement. This form is designed to make it easy for borrowers to identify loan costs and compare those costs between different lenders. Lenders must provide the Loan Estimate to borrowers within three days of receiving a loan application, and borrowers must acknowledge its receipt.
- The Closing Disclosure form provides information about all costs that will be settled at closing. Lenders must deliver the Closing Disclosure to borrowers at least three business days before closing, and borrowers must acknowledge receipt.

A licensee should advise clients to compare the Loan Estimate and the Closing Disclosure for any major cost changes that impact closing and monthly loan payments.